



The Real Estate Investor's Tax Strategy Checklist

16 questions your advisory team should be answering.

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This checklist covers the tax questions worth raising as a real estate portfolio grows. It isn't advice. It's a conversation starter for you and your advisory team, and the answers depend on your own facts.

How to use this: Check each box you can answer "yes" to. Every unchecked box is a conversation to have with your team.

1031 Exchanges

- ☐ **Do you have a 1031 exchange strategy for your next property sale?** A 1031 exchange lets you defer tax on the gain when you sell real property held for business or investment and reinvest in like-kind real property. The deadlines are strict: 45 days from the sale to identify the replacement property, and 180 days to close on it (or your tax return's due date, with extensions, if that comes first). Miss either one and the exchange generally fails, so the gain is taxable.
- ☐ **Have you evaluated a Reverse 1031 exchange?** If you find the replacement property before you sell, a reverse exchange lets you buy first and sell second. It costs more to set up and has its own deadlines, so it needs planning before you make an offer.
- ☐ **Do you have a Qualified Intermediary relationship established?** You can't take the sale proceeds yourself, even briefly, or the exchange can fail. A qualified intermediary usually holds them. Arranging one in the middle of a sale adds pressure, so it's easier to line one up before you list.

Cost Segregation

- ☐ **Have you run a cost segregation study on every property you own?** A cost segregation study identifies parts of a property that can be depreciated over 5, 7, or 15 years instead of 27.5 years (residential rental) or 39 years (nonresidential). That moves deductions into earlier years. It also changes what's taxed when you sell, so model both ends with your CPA.
- ☐ **Are you aware of the current bonus depreciation rules?** The One Big Beautiful Bill Act (signed July 4, 2025) made 100% bonus depreciation permanent for qualified property acquired and placed in service after January 19, 2025, replacing the earlier phase-down. Your CPA and financial planner should look at acquisition timing together.

Entity Structure

- ☐ **Is your entity structure optimized for both liability protection and tax efficiency?** LLCs, S corporations, partnerships, and holding companies are treated differently for tax. The setup that fit your first couple of properties may not fit the portfolio you have now.
- ☐ **Have you evaluated a holding company structure?** Once you own multiple properties across multiple LLCs, a parent holding company can simplify management, improve lending optics, and create tax planning flexibility.

QBI Deduction

- ☐ **Are you taking advantage of the QBI deduction on your rental income?** Section 199A allows a deduction of up to 20% of qualified business income from pass-through businesses, and the One Big Beautiful Bill Act made it permanent. Whether your rentals count as a business for this deduction depends on how they're run and the time spent on them.

State Tax Considerations

- ☐ **Have you evaluated your state of residency from a tax perspective?** If you have flexibility on where you live, state residency is worth modeling. Moving also comes with rules about proving where you actually live.
- ☐ **Are you filing in every state where you have rental income?** Rental income from another state can create a filing requirement there, even when little or no tax is due. Missed filings can bring penalties and interest.

Short-Term Rental Strategies

- ☐ **Are you leveraging the STR loophole for material participation?** Under the passive activity rules, a property with an average guest stay of 7 days or less isn't treated as a rental activity. If you also materially participate, losses may be nonpassive and able to offset other income, subject to other limits. Your CPA can tell you whether yours qualifies.
- ☐ **Do you have documentation proving your material participation hours?** If the IRS asks, you have to show your participation with records. A time log kept as you go is much easier to rely on than one rebuilt later.

Depreciation & Recapture

- ☐ **Do you have a depreciation recapture plan for when you eventually sell?** When you sell a property you've depreciated, the part of the gain that comes from depreciation is taxed under its own rules and can be taxed at a higher rate than the rest of the gain. Some components from a cost segregation study can be taxed as ordinary income. It's worth modeling before you list.
- ☐ **Have you modeled the tax impact of a sale vs. a refinance-and-hold strategy?** A cash-out refinance isn't a sale, so it generally doesn't trigger tax on the gain or the depreciation. It does add debt and payments. Ask your CPA and planner to put the two paths side by side for the specific property.

Your Advisory Team

- ☐ **Do you have both a CPA and a financial planner, and are they talking?** Your CPA handles compliance. Your financial planner handles strategy. You need both, and they need to coordinate. If they've never spoken, that's a problem.
- ☐ **Is your CPA proactively suggesting strategies, or just filing what you hand them?** If they've never raised cost segregation, entity structure, or short-term rental material participation without you asking first, that's a gap worth talking about.

How many boxes did you check?

Every unchecked box is a conversation your advisory team should be having.

If you'd like to go through the unchecked ones with me, book a 15-minute intro call and bring the checklist. We'll talk about your portfolio and your team.

By the end, I'll tell you whether it's worth going deeper in a second conversation, or whether I'm not the right fit.

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[Schedule a 15-minute call](#)